

**SWEETWATER UNION HIGH SCHOOL DISTRICT
ANNUAL AND FIVE-YEAR REPORTABLE FEES REPORT
FOR FISCAL YEAR 2017-2018, IN COMPLIANCE WITH
GOVERNMENT CODE SECTION 66000 ET SEQ.**

Government Code Section 66000 et seq. provides that the Sweetwater Union High School District ("District") shall make available to the public certain information and adopt prescribed findings relative to school facility fees adopted pursuant to Education Code Section 17620 and Government Code Section 65995 ("Level 1 Fees" and "Commercial/Industrial Fees" collectively, "Statutory School Facility Fees") and Government Code Sections 65995.5, 65995.6 and 65995.7 ("Level 2 Fees" and "Level 3 Fees," and collectively, "Alternative School Facility Fees"). The foregoing fees are collectively referred to as reportable fees ("Reportable Fees"). The described information and findings contained in this Annual and Five-Year Reportable Fees Report ("Report") relate to Reportable Fees that the District received, expended or may expend in connection with school facilities ("School Facilities") in order to accommodate additional students from new and other residential development as well as commercial and industrial construction (collectively referred to as "Development") if funded or partially funded with Reportable Fees. The Reportable Fees only include money in possession of the District and does not include letters of credit, bonds, or other instruments to secure payment of Reportable Fees at a future date. The Reportable Fees have not been levied, collected, or imposed for general revenue purposes.

ANNUAL REPORT

In accordance with Government Code Section 66006, the District provides the following information for fiscal year 2017-2018:

A. Description of the Type of Reportable Fees in the Account or Sub-Account(s) of the District:

The Reportable Fees consist of Statutory School Facility Fees and Alternative School Facility Fees. The Reportable Fees were deposited in Fund 25 – Capital Facilities ("Fund"), a separate capital facilities account or fund in a manner to avoid any commingling of the Reportable Fees with other revenues and funds of the District, except for temporary investments. As this Report provides, the Reportable Fees and any interest income earned by moneys in the Fund have been expended as set forth herein solely for the purpose for which the Reportable Fees were originally collected. (Government Code Section 66006(a).)

B. Reportable Fees Information for the Fund:

1. Within 180 days after the last day of each fiscal year, the District is required to make available to the public certain information. As set forth below, the

District provides the following information for the Fund for the fiscal year 2017-2018. (Government Code Section 66006(b)(1).)

a. Amount of the Reportable Fees:

The Reportable Fees were authorized to be levied on Development by the District's Board of Trustees ("Board") after adoption. As shown in the District's Fee Justification Study ("FJS") and/or School Facilities Needs Analysis ("SFNA"), the Reportable Fees only partially mitigate the impacts to the District caused by Development because the Reportable Fee amounts do not adequately fund the District's School Facilities needs resulting from additional Development within the District. (Government Code Section 66006(b)(1)(A).)

Statutory School Facility Fees (Government Code Section 66006(b)(1)(B))

Level 1 Residential For Area Servicing Grades 7-12	Level 1 Commercial/Industrial For Area Servicing Grades 7-12
\$ 1.95 per square foot	\$ 0.31 per square foot

From July 1, 2017 to June 30, 2018

Level 1 Residential For Area Servicing Grades 9-12	Level 1 Commercial/Industrial For Area Servicing Grades 9-12
\$ 1.36 per square foot	\$ 0.22 per square foot

From July 1, 2017 to June 30, 2018

b. Beginning and Ending Balance, Reportable Fees Collected, Interest Earned and Expenditures of the Fund (Government Code Section 66006(b)(1)(C) and (D)):

	Reportable Fees
Beginning Balance (07/01/2017)	\$ 3,689,339.23
Amount of Reportable Fees Collected	\$ 2,139,488.40
Interest Earned	\$ 51,186.33
Expenditures	\$ (800,212.96)
Ending Balance (06/30/2018)	\$ 5,079,801.00

c. Identification of Each District Project on Which Reportable Fees Were Expended Including the School Facilities Project (“Project”) Total and Percentage of the Project Cost That Was Funded with Reportable Fees (Government Code Section 66006(b)(1)(E)):

The foregoing information¹ is set forth below.

Project Description	Project Total	Percentage of Project Total Funded w/ Reportable Fees
Legal Fees incurred in FY 2017-18 for the review of the Fee Justification Report dated July 30, 2018	\$4,466.30	100%
Three percent transferred to General Fund for reimbursement of administrative costs incurred in FY 2017-18 for collecting the fees, pursuant to Ed Code 17620(a)(5)	\$64,184.65	100%
Chula Vista High School Relocatable Classrooms 2017-18 (Addition of four relocatable classrooms to help address enrollment increase at the school site due to residential development)	\$715,000 (Funded by Reportable Fees in FY 2017-18: \$479,005.15)	100%
Mar Vista High School Cafeteria Upgrades (Upgrade the infrastructure capacity of the MVH cafeteria, which currently does not accommodate the hook-up requirements for new ovens. The cafeteria upgrades increase the production of meals and address the enrollment increase at the school site from residential development.)	\$46,160 (Funded by Reportable Fees in FY 2017-18: \$7,750)	27%
Southwest High School Relocatable Classrooms 2017-18 (Addition of four relocatable classrooms.)	\$648,363 (Funded by Reportable Fees in FY 2017-18: \$159,184.61)	80%

¹ Pursuant to Education Code 17620(a)(5), Level 1 Fees collected may also be spent on the following non-facility costs: the costs of conducting a School Facilities Needs Analysis and/or Fee Justification Study; and preparing the Annual Report. In addition, a school district may also retain “an amount not to exceed, in any fiscal year, three percent of the fees collected in that fiscal year” The three percent amount is for the reimbursement of administrative costs incurred in collecting the fee. For school districts that levy a Level 2 Fee, the three percent amount is calculated only on the amount of the Level 1 Fees that are collected.

Project Description	Project Total	Percentage of Project Total Funded w/ Reportable Fees
Olympian High School Relocatable Classrooms 2017-18 (Addition of six temporary relocatable classrooms to help address enrollment increase at the school site due to residential development.)	\$840,000 (Funded by Reportable Fees in FY 2017-18: \$85,622.25)	18%

- d. **When the District Accumulates Sufficient Funds to Complete Project(s) for Which It Previously Identified as Intending to Spend Reportable Fees,² the District Needs to Identify the Approximate Date It Will Commence Construction on Such Project(s) (Government Code 66006(b)(1)(F)):**

Project	Estimated/Actual Commencement Date
Chula Vista High School Relocatable Classrooms 2017-18	July 2017
Olympian High School Relocatable Classrooms 2017-18	August 2017

- e. **Description of Each Interfund Transfer or Loan Made From the Fund (Government Code Section 66006(b)(1)(G)):**

Interfund Transfers:

Description of Project for which Interfund Transfer was Used	Fund(s) to Which Reportable Fees Were Transferred	Amount Transferred
Three percent transferred to General Fund for reimbursement of administrative costs incurred in FY 2017-18 for collecting the fees, pursuant to Ed Code 17620(a)(5)	General Fund	\$64,184.65

² The District is required to make such identification pursuant to Government Code Section 66001(a)(2). The identification may have been done by reference to a capital improvement plan or general plan or may be made in other public documents that identify the public facilities for which the fee is charged.

Interfund Loans:

Description of Project for Which Interfund Loan was Used	Fund(s) to Which Reportable Fees Were Loaned	Amount Loaned	Date Loan Repaid	Rate of Interest
None.				

f. Refunds and Allocations (Government Code Section 66006(b)(1)(H), 66001(e), (f)):

When the District has determined that sufficient funds have been collected to complete financing on incomplete Project(s) and the Project remains incomplete, the District is required to identify the approximate date by which the construction of the Project(s) will commence. If the District fails to timely identify the approximate date by which the construction of the Project(s) will commence, then the District must refund the unexpended portion of the Reportable Fees and any interest accrued thereon to the then current record owner(s).

No refunds of Reportable Fees were made in Fiscal Year 2017-2018.

2. The District will review the Report at the next regularly scheduled public meeting ("Meeting") not less than 15 days after the Report is made available to the public. Notice of the time and place of the Meeting, including the address where the Report may be reviewed, will be mailed at least 15 days prior to the Meeting, to any interested party who filed a written request with the District for mailed notice of the Meeting.³

³ Any written request for mailed notices shall be valid for one year from the date on which it is filed unless a renewal request is filed. Renewal requests for mailed notices shall be filed on or before April 1 of each year. The District may establish a reasonable annual charge for sending notices based on the estimated cost of providing the service.

FIVE-YEAR REPORT

In accordance with Government Code Section 66001, the District provides the following information for fiscal year 2017-2018:

For the fifth fiscal year following the first deposit into the Fund, and every five years thereafter, the District is required to make all of the following findings with respect to that portion of the Fund remaining unexpended, whether committed or uncommitted. At the close of the fiscal year 2017-2018, there remained **\$5,079,801.00** in the Fund. (Government Code Section 66001(d).)

A. Identification of All Projects for Which the Reportable Fees Will Be Expended in the Future:

The purpose of the Reportable Fees imposed and collected on Development within the District is to fund additional School Facilities required to serve the students of the District generated by Development within the District. Specifically, the Reportable Fees will be used for the construction and/or acquisition of additional School Facilities, remodeling existing School Facilities to accommodate new growth from new development including, but not limited to, adding additional classrooms, technology and acquiring and installing additional portable classrooms. (Government Code Section 66001(d)(1)(A).)

Further information regarding such Project(s) is set forth in the following chart:

Project Name	Source of Funds⁴	Amount of Anticipated Funding From Each Source⁵	Project Total⁶
Chula Vista High School Relocatable Classrooms 2017-18 (Addition of four relocatable classrooms to help address enrollment increase at the school site due to residential development)	Reportable Fees	Reportable Fees – \$715,000	\$715,000
Olympian High School Relocatable Classrooms 2017-18 (Addition of six temporary relocatable classrooms to help address enrollment increase at the school site due to residential development.)	Reportable Fees And Mello-Roos/CFD Funds	Reportable Fees – \$151,200 Mello-Roos/CFD Funds – \$ 688,800	\$840,000

⁴ See chart in paragraph C below for applicable sources of funds.

⁵ The total in this column should equal the total in Line 11 of the chart in paragraph C below.

⁶ The total in this column should equal the total in Line 12 of the chart in paragraph C below.

Project Name	Source of Funds ⁴	Amount of Anticipated Funding From Each Source ⁵	Project Total ⁶
Mar Vista High School Aquatics Facilities & Central Campus Modernization (Replacement and expansion of current facilities)	Proposition O (GO Bond), Proposition DD (GO Bond), Reportable Fees, State of California FY 2018-19 Budget.	Proposition O (GO Bond) – \$13,520,000 Proposition DD (GO Bond) – \$10,000,000 Reportable Fees – \$5,800,000 State of California - \$2,000,000	\$31,320,000

B. Demonstration of a Reasonable Relationship Between the Reportable Fees and the Purposes for Which They Are Charged:

As shown in the current and previous FJSs, which are incorporated by reference, there is a roughly proportional, reasonable relationship between the Development upon which the Reportable Fees are charged and the need for additional School Facilities by reason of the fact that additional students will be generated by additional Development within the District, and the District does not have student capacity in its existing School Facilities to accommodate these new students. Furthermore, the Reportable Fees charged on Development will be used to fund School Facilities which will be used to serve the students generated from Development. The Reportable Fees do not exceed the costs of providing such School Facilities for new students. (Government Code Section (d)(1)(B).)

C. Identification of All Sources and Amounts of Funding Anticipated to Complete Incomplete Projects Identified by the District in Paragraph A Above and Approximate Date Funding Is Expected to Be Deposited (Government Code Section 66001(d)(1)(C) and (D)):

Source of Funding	Amount of Funding Anticipated to Complete Incomplete Projects	Approximate Date Funding Expected to Be Deposited
1. State Funding Program Funds	\$2,000,000	December 2018
2. State Hardship Funds		
3. Community Facilities Districts	\$688,800	Deposited
4. General Obligation Bond Proceeds (Not Authorized, Only Issued)	\$13,520,000	Deposited

Source of Funding		Amount of Funding Anticipated to Complete Incomplete Projects	Approximate Date Funding Expected to Be Deposited
5.	General Obligation Bond Proceeds (Authorized, Not Issued)	\$10,000,000	April 2019
6.	Statutory School Facility Fees	\$6,666,200	June 2020
7.	Alternative School Facility Fees		
8.	Mitigation Payments		
9.	Certificates of Participation		
10.	Federal Grants		
11.	Total Funding (Add Lines 1 – 10 above)	\$32,875,000	
12.	Total Costs of All Incomplete Projects	\$32,875,000	
13.	Minus Total of All Funding Sources (enter from Line 11 above).	(\$32,875,000)	
14.	Unfunded Balance (Line 12, minus Line 13)	\$0	

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